

Northwind Robotics — Q2 Board Update

QUARTER ENDING JUNE 30, 2026 • SERIES B • WAREHOUSE
AUTOMATION • DRAFTED OVERNIGHT FROM THE RECORD

What it already knows: every event logged this quarter, the decisions on file, and the numbers from the books. This memo was assembled from a cold start overnight, not written from a blank page. You review and adjust, you do not draft.

Headline

The quarter held the plan on revenue and beat it on margin. Two anchor deployments went live ahead of schedule, and gross margin moved up as the second-generation pick arm cut installation labor. The watch items are a slipping enterprise contract and a robotics-engineering hiring gap that is now on the critical path for the H2 roadmap.

Against plan

The four numbers the board tracks, measured against the targets set at the start of the year.

\$18.4M

ARR • vs
\$18.0M
target •
ahead

119%

net revenue
retention • vs
115% target

61%

gross margin
• vs 57%
target • up 5
pts

16 mo

cash runway
• vs 14 mo
plan

Wins this quarter

Three things that moved the business forward.

Two anchor deployments went live ahead of schedule

LIVE

A regional grocer and a third-party logistics operator brought 14 robots into live picking, both roughly three weeks early · combined \$3.1M expansion ARR

Gross margin crossed 60 percent

UP 5 PTS

The second-generation pick arm cut on-site installation labor by 38 percent · margin moved from 56 to 61 across the quarter

Uptime held above the contractual floor across every site

98.7%

Fleet availability averaged 98.7 percent against a 97 percent service commitment · zero penalty events this quarter

Concerns we are watching

An honest read of what is not going to plan.

The Meridian Freight enterprise deal has slipped a quarter

SLIPPED

A \$2.4M annual contract is now stalled in their security review · their sponsor moved internally and procurement reset the clock · we have moved it out of the Q2 forecast

The robotics-engineering hiring gap is now on the critical path

GAP

Three of five controls-engineering roles remain open after a full quarter of search · the H2 multi-arm release is the first thing this puts at risk

Mid-market sales cycles have lengthened

LENGTHENING

Average time from first call to signature stretched from 71 to 94 days as buyers add operational pilots before committing · pipeline coverage is intact, conversion timing is not

Decisions we need from the board

Two items that need a board call this meeting, not next.

Approve a \$1.2M increase to the controls-engineering compensation band

DECIDE

The three open roles are losing to better-funded competitors at offer stage · raising the band closes the H2 hiring gap before it costs us the release window

Approve opening a second integration and staging facility in the Midwest

DECIDE

Current single-site staging is now the bottleneck on deployment lead time · a second facility shortens it from nine weeks to roughly five · estimated \$2.8M first-year cost

The ask

Two warm introductions and a green light on the second facility.

We are asking each director for one introduction to a national grocery chain or a large third-party logistics operator, the two buyer profiles where our anchor deployments are now proven references. Alongside that, we are asking the board to approve the second staging facility this meeting so the build can begin before the H2 deployment wave lands. Both moves convert a strong quarter into a faster H2.

COMMAND ROOM · BOARD UPDATE · ASSEMBLED OVERNIGHT FROM THE
QUARTER'S EVENTS, THE DECISION LOG, AND THE BOOKS · NAMES AND
FIGURES ARE ILLUSTRATIVE